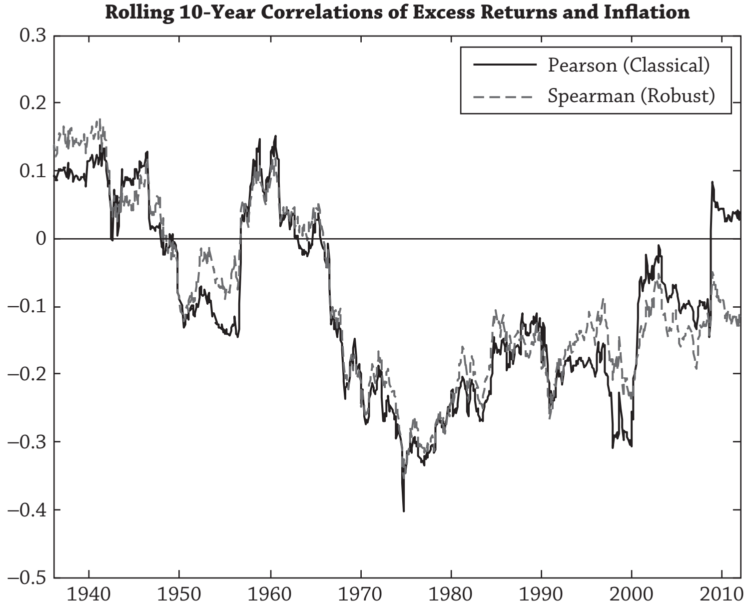

Figure 8.5

in the sample is 3.5%, and the long-run average inflation rate is 2.9%. In comparison, equities have an average return of 9.3% and handily beat inflation in the long run. Equity does well—the equity premium is high (see sections 2 and 3). But equity does not co-move with inflation, and this makes equity a bad inflation hedge.

The negative relation of equities and inflation is not particular to the United States. Bekaert and Wang (2010) regress asset returns around the world onto inflation. A good inflation hedge should have an inflation beta of one. Bekaert and Wang find that inflation betas of equities are generally negative for all developed markets, with an average of −0.25. Even when they are positive in certain developed countries, the inflation betas are low and far from one. For example, the North American inflation beta is −0.42 and the EU inflation beta is 0.27. Interestingly, emerging markets do have positive inflation betas close to one, with an average of 1.01.

High inflation is good for those who owe and bad for their creditors. Corporate debt is denominated almost exclusively in nominal terms and high inflation reduces the debt outstanding in real terms. This is beneficial for borrowers at the expense of lenders. Most companies issue debt, which means that the equity market is itself leveraged. So we would expect that high inflation benefits shareholders at the expense of bondholders. This only exacerbates the puzzle.